QUANTITATIVE MACRO PROJECT

The Central Bank Credibility Index

A data-driven approach to measuring trust, consistency, and efficacy in monetary policy.

01 / PROJECT MOTIVE

Why Build This Index?

The 2022 inflation shock proved that we cannot simply rely on central bank rhetoric. Market trust is fragile.

I wanted to build a rigorous, quantitative framework that grades the world's top 10 central banks not on what they say, but on the mathematical reality of their macroeconomic execution over the last four volatile years (2020-2024).

02 / THE ANALYSIS FRAMEWORK

How is it Calculated?

Inflation Anchoring (30%)
Deviation from the 2.0% CPI target.

Policy Consistency (20%)
FinBERT AI sentiment of press releases.

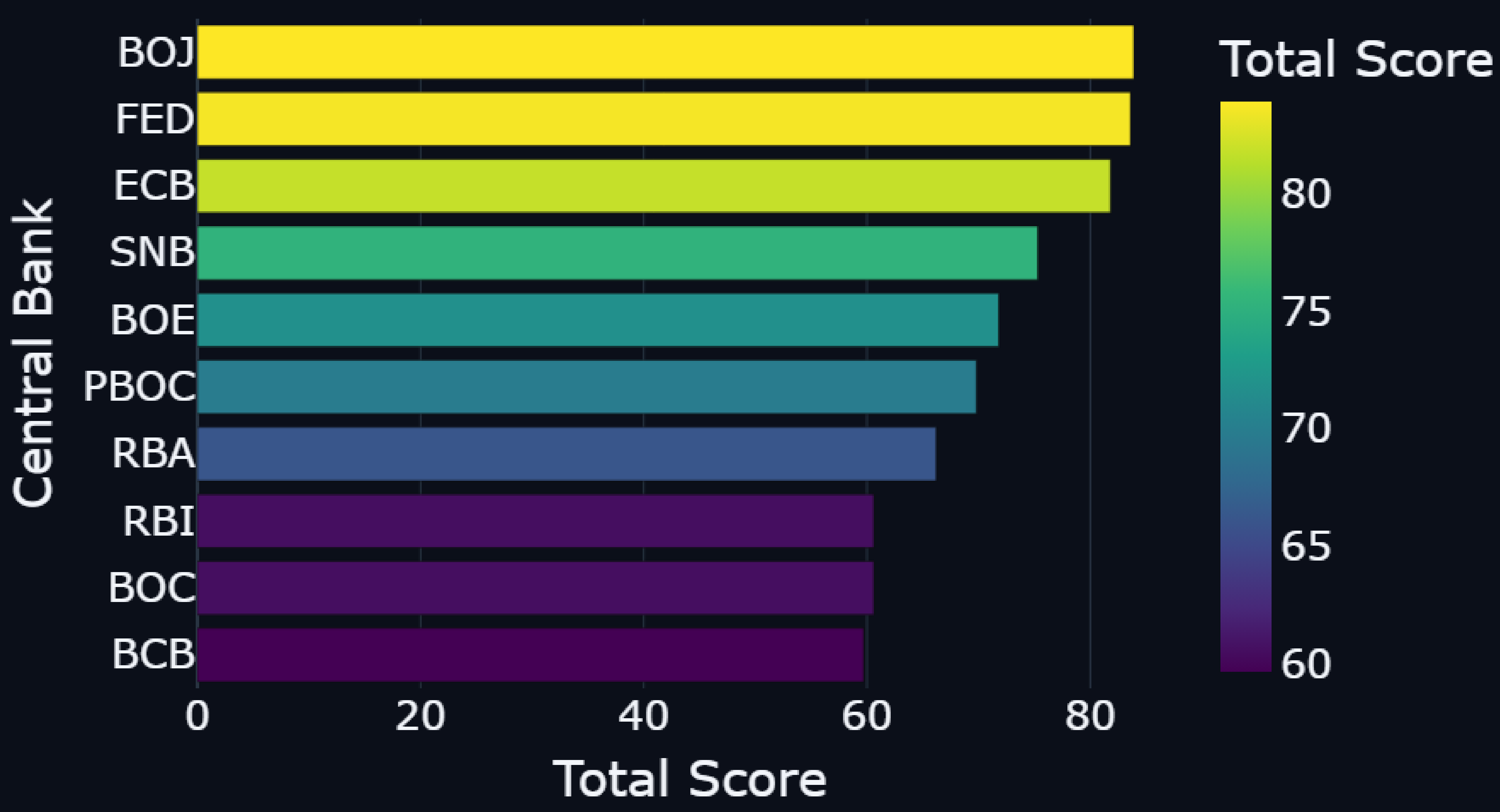
Forecast Accuracy (20%)
Historical projections vs realized GDP/CPI.

Bond Confidence (15%)
Sovereign yield curve volatility.

FX Stability (15%)
Currency exchange stability via FRED API.

03 / THE OUTCOME

The Global Leaderboard



Insight: SNB & FED Lead the Pack

Switzerland and the US navigated the shock with the highest overall credibility, while the BOJ was penalized heavily for extreme FX volatility and YCC breakdown.

04 / PRECAUTIONS & LIMITATIONS

Methodological Nuance

Proxy Data Reliance

Certain metrics, like Forecast Accuracy, rely on proxy consensus approximations rather than full historical dot-plot scraping.

NLP Context Limits

The FinBERT engine analyzes localized sentiment but struggles to fully capture the multi-decade cultural nuance of banks like the PBOC.

It is a framework, not absolute financial truth.

05 / JOIN THE DISCUSSION

What do you think?

Does the data match your experience trading these sovereign markets?

Let's Connect & Discuss

I am actively building quantitative macroeconomic models and would love to exchange ideas with fellow analysts and economists.

Follow for more Python-driven macro insights.